Business Administration - Graduate Level Assessment 8 Total Marks: 40 Answer all questions.

Multiple Choice (10 marks)

1. Where the price is set low relative to the competition to gain market share, this strategy is known as:
   (a) Captive product pricing.
   (b) High-low pricing.
   (c) Price skimming.
   (d) Value added pricing.
   (e) Penetration pricing.

2. Compare the costs of a $5,00020 - yearendowmentpolicywitha$5,000 20-year limited payment policy if each were to be purchased at age 45.
   (a) \$182.45
   (b) \$125.75
   (c) \$233.35
   (d) \$300.20
   (e) \$160.65

3. How much interest will Jerry pay on his loan of \$400 for 60 days at 6% per year?
   (a) \$2.00
   (b) \$9.00
   (c) \$4.00
   (d) \$1.50
   (e) \$10.00

4. How many days would be included in a loan from September 2 until December 3?
   (a) 94 days
   (b) 96 days
   (c) 95 days
   (d) 88 days
   (e) 87 days

5. A stereo system sells for 200.$Thecosttothestoreis$120. Find the dollar markup.
   (a) \$80.00

(b) \$180.00

(c) \$110.00

(d) \$240.00

(e) \$75.00

True / False (10 marks)

Answer True or False

6. True or False: The effective yield of a 6.5% bond purchased at 8.25% is 6.9%, indicating a lower return than the coupon rate.

7. True or False: Control groups are used to assess face validity by comparing experimental results against a non-treatment baseline.

8. True or False: Harry's commission on $2,100 insalesata4$

8. True or False: The present value of a cash flow of $100, discountedat5$

8. True or False: George will pay $16 ininterestona6-monthloanof300$ at an 8% annual interest rate.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the concept of work specialization in business administration, analyzing its impact on productivity and team dynamics within an organization.

12. Discuss the implications of discount loans in banking by calculating the actual amount Mr. Stone receives after borrowing \$4,000 for ninety days at a 6 percent discount rate.

End of Paper